

Introduction to Microeconomics
Lecture 5—Supply & Demand

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- Why do male soccer players earn more than female soccer players?
- Why do diamonds cost more than water?
- Why do Picasso's paintings sell for more than other artists?
- Is it the cost of production that determines prices, or is it willingness to pay that determines prices?
- Alfred Marshall, in *Principles of Economics*, 1890 was the first to explain clearly how both costs and willingness to pay interact to determine market prices.

Definition

The **market** for any good or service consists of all (actual or potential) buyers or sellers of that good or service.

The demand curve

The **demand curve** for a good or service tells us the total quantity of that good or service that buyers wish to buy at each price.

The supply curve

The **supply curve** of a good or service tells us the total quantity of that good or service that sellers wish to sell at each price.

The Equilibrium Principle

A market in equilibrium leaves no unexploited opportunities for individuals, but may not exploit all gains achievable through collective action.